

DCC STRATEGY | A+ Setups



Valid Setup vs. A+ Setup

The core DCC strategy tells you whether a setup is **valid**.

However, not every valid setup has the same probability.

Some setups have every possible confirmation working together. Others still meet the rules but have one or two weaker factors.

That's the difference between an **A+ setup** and a **lower-probability setup**.

The main factors we have to consider are:

- The 2H key levels
- The 1H EMA separation
- The 1H ADX value
- The position of VWAP
- The quality of the 5M PFG entry
- Trade timing

But first, one VERY IMPORTANT point:

A lower-probability setup is NOT automatically a bad setup.

It can still be completely valid and profitable. It simply has fewer confirmations behind it.

With this guide, I want to prevent you from **blindly entering** every 5M flip, while also making sure you're **not scared to enter** a valid setup just because it isn't the highest-probability one.

1. THE 2H MAP

The 2H chart tells us **where** the price currently is, whether we have another **layer of protection** for our stop loss, and whether there's enough **space for our target**.

A+ Scenario

- No major 2H swing high or swing low interferes with the target
- There is enough clean space for at least a 1:1.5 RR
- There is enough space for a 1:2 RR when the trend is strong
- The daily open price or another 2H level supports the stop loss

Lower-Probability Scenario

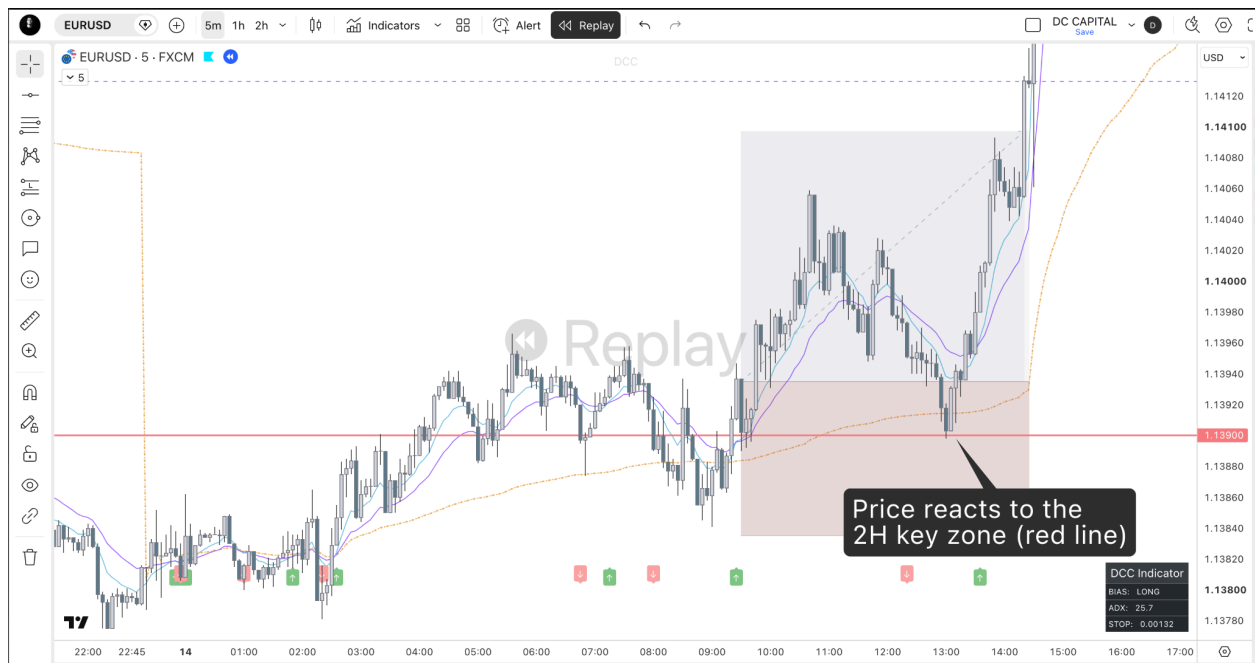
- There is technically enough room for the target, but a 2H level is nearby
- Price is moving toward a possible reaction zone
- No 2H level provides additional protection for the stop loss

The closer the level is to our target, the chances are higher the zone acts as a reversal zone.

I purposely didn't target a 1:2 RR here because the price would've had to break through a key 2H level to reach it. Notice how the price immediately reacted to the level and completely reversed:



A great example of how price reacted to a 2H key level (the orange line is the open price level) and provided extra protection for our stop loss:



2. THE 1H EMA BIAS

The position of the 9 EMA and 20 EMA gives us our direction.

For longs:

9 EMA above the 20 EMA

For shorts:

9 EMA below the 20 EMA

But we also need to analyze the quality of that bias.

A+ Scenario

- There is clear separation between the 9 EMA and 20 EMA
- The EMAs have not been constantly crossing

Lower-Probability Scenario

- The EMAs are close together

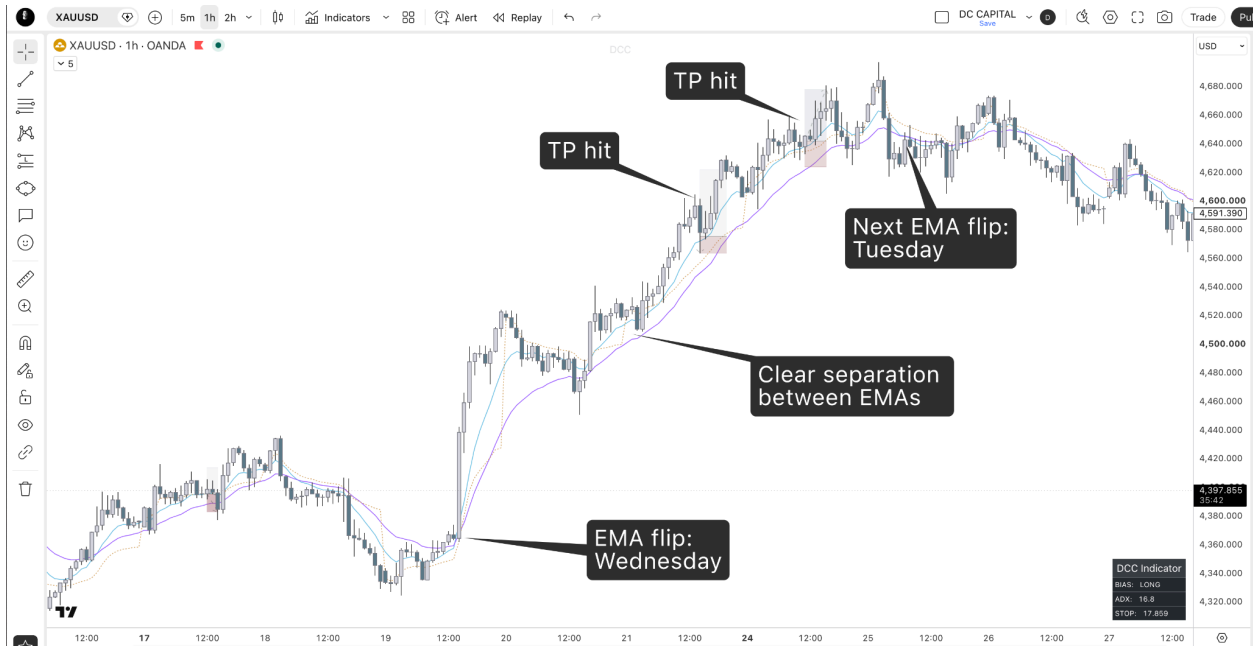
- The EMAs are moving sideways
- The EMAs have recently crossed multiple times

A recent EMA cross does **not** automatically invalidate the setup.

If separation is beginning to develop and the other confirmations are strong, the setup is completely valid.

However, an **established bias with clear EMA separation** is generally a higher-quality scenario.

A+ scenario (1H timeframe)



Valid (1H timeframe)



Avoid:



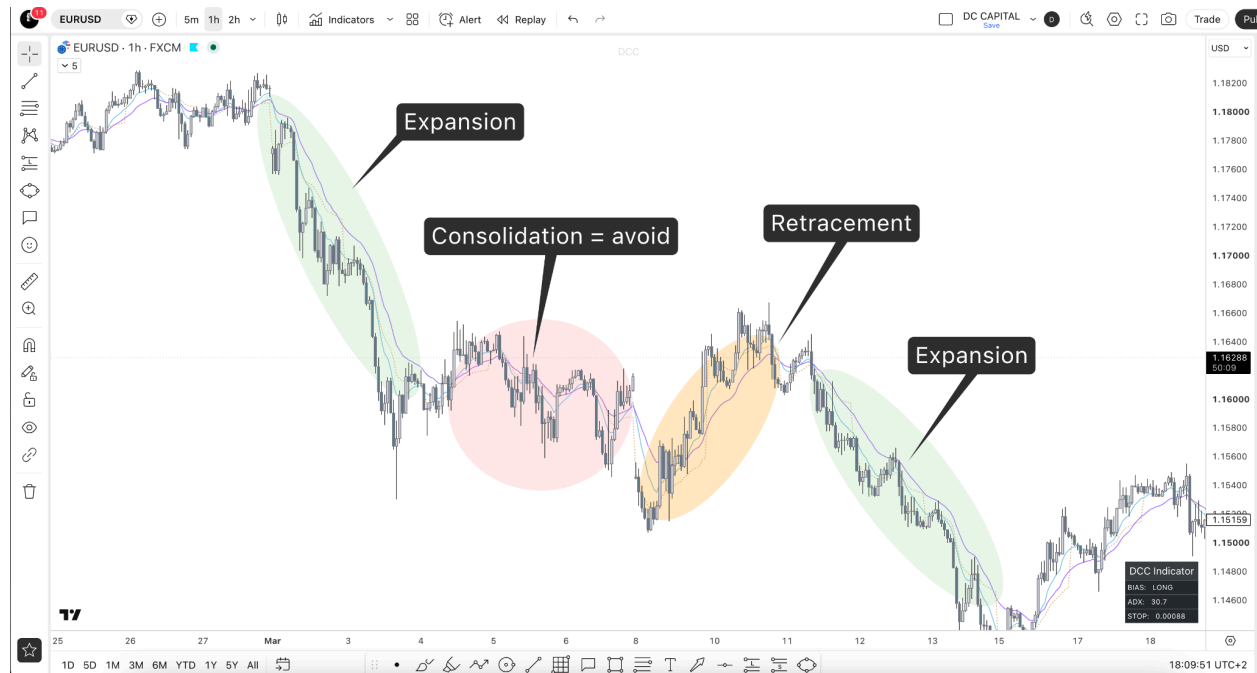
Also, one thing to note:

The market **ALWAYS** moves in 3 phases:

1. **Consolidation** – Price moves sideways within a range
2. **Expansion** – Price breaks out and moves strongly in one direction
3. **Retracement** – Price temporarily pulls back before potentially continuing the trend

Generally speaking, we don't want to trade during consolidation. We want to trade during expansion or retracement, as long as the EMAs are clear.

The 3 market phases:



3. THE 1H ADX

ADX measures the strength of the current trend.

It does not tell us whether the market is bullish or bearish. The EMAs give us the direction, while ADX tells us how strong that direction currently is.

ADX is the only **optional** part of the DCC strategy.

ADX Below 20

I tend to **avoid** trades when the ADX is below 20 simply because the trend isn't strong enough.

However, if everything else lines up **perfectly**, we can still enter. Since we're **intraday traders**, we don't necessarily need the strongest trend and can also benefit from short term movements within a range.

BUT, the setup has a **lower probability** because there isn't a clearly confirmed direction yet.

Also, one thing I like to do when the ADX is below 20 is to target a 1:1.5 RR so I can get in and out of the trade quickly.

TP hit with ADX below 20:



ADX Above 20

The setup is valid.

A trend may be developing, but the strength is not fully confirmed yet.

ADX Above 25

This is the preferred scenario.

It shows stronger trend conditions and gives us additional confirmation behind the EMA bias.

ADX Above 40

This indicates a very strong trend.

However, we still need to check whether the market is already overextended.

A high ADX alone is never a reason to enter.

It only increases the quality of a setup that already meets the other DCC rules.

SL hit with ADX above 40:



4. VWAP POSITION

VWAP tells us whether price is trading on the correct side of the session's volume-weighted average.

There are several different VWAP scenarios.

Let's Say We're Looking for Longs:

VWAP Is Above Price

Completely invalid.

Price is trading on the wrong side of VWAP.

VWAP Is Below Price but Extremely Close

Valid, but not ideal.

Price is technically on the correct side, but VWAP could still interfere with the trade.



VWAP Is Below Price With Clear Separation

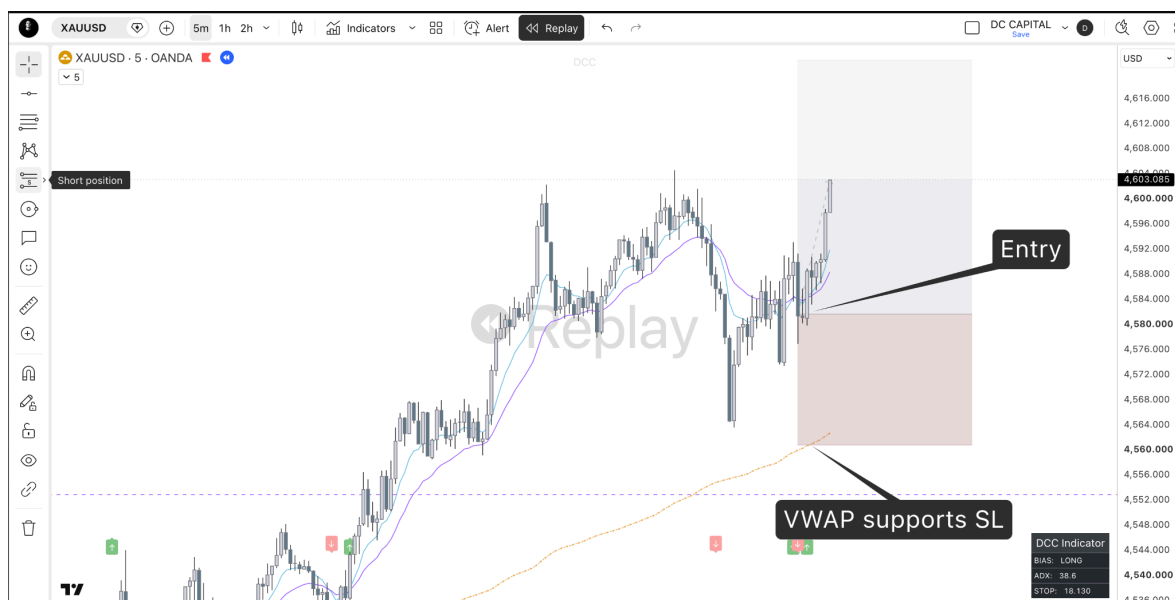
Good scenario.

Price is clearly holding above VWAP, giving us stronger bullish confirmation.

VWAP Is Below Price and Supports the Stop Loss

Best-case scenario.

VWAP is on the correct side of price and also sits close to our stop loss area, providing another potential layer of defense.



For Short Setups, Everything Is Reversed

- VWAP below price = completely invalid
- VWAP above price but extremely close = valid, but not ideal
- VWAP above price with clear separation = good
- VWAP above price and supporting the stop loss = best-case scenario

5. THE 5M PFG ENTRY

The 5M EMA flip gives us the entry trigger.

However, not every flip has the same quality.

A+ PFG Entry

- There is a clear pullback against the 1H bias
- The 9 EMA decisively flips the 20 EMA
- The 5M EMAs have not recently flipped multiple times.
- Price is on the correct side of VWAP
- Price is on the correct side of the horizontal 1H 20 EMA level
- The entry does not form directly into a major 2H level
- The pullback and continuation are easy to identify

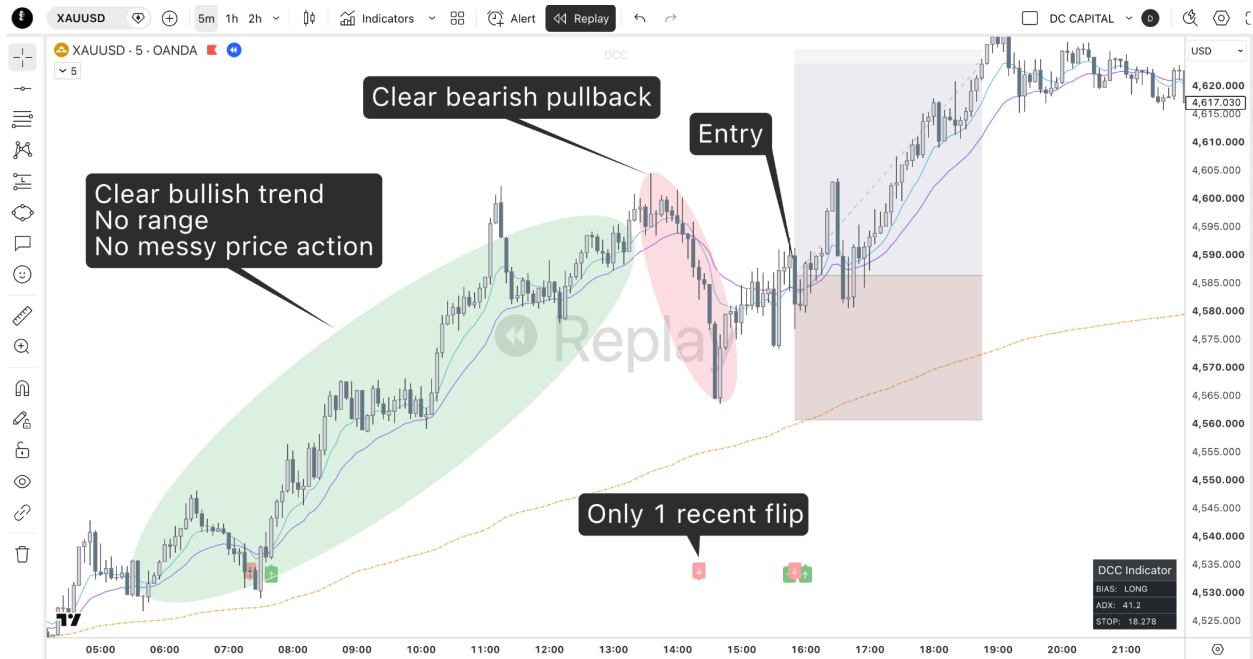
Lower-Probability PFG Entry

- The pullback is messy or mostly sideways
- The 5M EMAs have recently flipped multiple times
- Price is extremely close to VWAP
- Price is extremely close to the horizontal 1H 20 EMA level
- The entry forms close to a major 2H reaction level

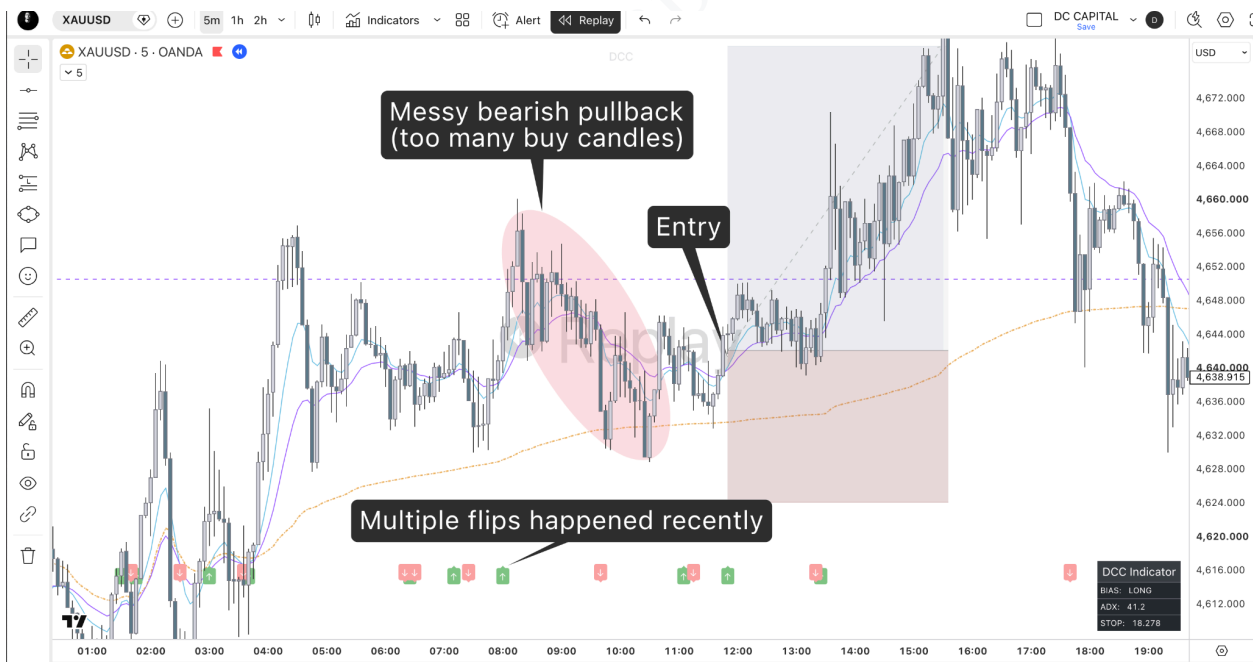
The EMA flip itself is **never** enough.

We still need the complete DCC structure behind it.

A+ PFG entry:



Lower-probability PFG entry:



6. TRADE TIMING

Even the best strategy will struggle under the **wrong** market conditions.

A setup might look perfect technically, but if you enter one minute before NFP news, then you basically deserve to lose.

NFP and Major News

Avoid trading on NFP days and shortly before or after other high-impact news.

News can create sudden volatility, wider spreads and aggressive moves that completely ignore the technical setup.

Major US Bank Holidays

Avoid major US bank holidays such as Thanksgiving, July 4th, Christmas and New Year's Day.

US banks are closed, liquidity is low and price often ranges or produces unusual price action.

I usually trade during smaller bank holidays, especially during sessions that aren't as heavily affected by US bank holidays, such as the London session. However, expect slower movement, lower ADX values and fewer clean trends.

Monday Market Open

Avoid the Monday market open and around six hours afterward.

Liquidity is still returning and the weekly trend needs time to develop. This often creates slower and less reliable price action.

Friday After 3 PM UTC

Avoid opening new trades after around 3 PM UTC on Fridays.

The market is preparing for the weekly close, traders are closing positions and liquidity begins to decrease. Large, sustained moves become less likely.

Market Rollover

Avoid opening trades approximately two hours before and two hours after market rollover.

Liquidity drops, spreads can widen and price action often becomes slower or unpredictable.

A+ technical setup + bad timing = not an A+ trade.

EXAMPLE OF AN A+ LONG SETUP

- The 2H chart has clean space for the target
- A 2H level provides additional protection for the stop loss
- The 1H 9 EMA is clearly above the 20 EMA
- There is strong separation between both EMAs
- The bullish EMA cross did not happen recently
- The 1H ADX is above 25
- Price is clearly above VWAP
- VWAP supports the stop loss area
- Price is above the horizontal 1H 20 EMA level
- A clean bullish PFG entry forms on the 5M
- There is enough space for a 1:2 RR
- Trade timing is ideal

Almost every confirmation supports the same trading idea.

That is an **A+ setup**.

EXAMPLE OF A LOWER-PROBABILITY LONG SETUP

- The basic 2H structure is valid
- There is enough room for at least a 1:1.5 RR
- The 1H 9 EMA is above the 20 EMA
- The EMA cross happened recently
- The EMAs are still relatively close
- The 1H ADX is below 20
- Price is above VWAP, but VWAP is extremely close
- Price is above the horizontal 1H 20 EMA level
- A valid bullish PFG entry forms

Every mandatory rule is still met.

The setup is **valid**.

DO WE ONLY TRADE A+ SETUPS?

No.

Waiting for every single factor to be perfect could remove too many valid trades and completely destroy the trade frequency the DCC strategy was built around.

The strategy was designed to provide enough opportunities to:

- Pass prop firm challenges fast
- Reach payouts consistently
- Avoid waiting several weeks for one trade

A B setup can still win.

An A+ setup can still lose.

The grading system simply helps us understand how much confirmation is behind each trade.

The goal is to:

- Avoid clearly bad market conditions
- Understand when a setup has weaker confirmation
- Execute every valid setup according to our tested rules
- Avoid trading at the wrong time

The goal is not to wait forever for a “perfect” setup.

PRE-TRADE QUALITY CHECKLIST

Before entering, ask yourself:

- Is there enough space from the 2H levels to my target?
- Does a 2H level support my stop loss?
- Are the 1H EMAs clearly separated or still close?
- Is the 1H ADX above 20?
- Is the 1H ADX above 25?
- Is price on the correct side of VWAP?
- Is VWAP extremely close or clearly separated?
- Does VWAP support my stop loss?
- Is price on the correct side of the horizontal 1H 20 EMA?
- Did a clean 5M PFG candle close?
- Is the setup A+, lower probability or invalid?

The basic rules determine whether the trade is **valid**.

The additional confirmations determine the **quality** of that valid trade.

Always remember:

Valid does NOT automatically mean A+.

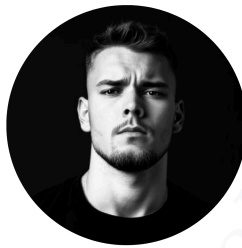
Lower probability does NOT automatically mean bad.

And A+ NEVER means guaranteed.

Learn more and be part of the DCC community here:

[Click here](#) to join the free DCC discord.

[Click here](#) to try the DCC indicator free for 7 days.



Let's beat the game

Yours, David "DC"

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